

*Public Market Deal Report*

# Investment Banking

Investment Banking Research Team

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## Industry Landscape

**Overview:** The US freight rail industry is valued at \$117 billion in 2024 and is projected to grow to approximately \$283 billion by 2034 because of rising intermodal demand and long-haul freight efficiency advantages.

**Capabilities:** Class I railroads benefit from nationwide infrastructure, high fuel efficiency, and strong bulk-freight capacity. New technology, like better signaling and automation, will help trains run more smoothly and increase capacity.

**Risks:** Growth may be constrained by regulatory oversight, service-reliability challenges, and network congestion. Additionally, competition from trucking, as electric technologies advance, could also pressure pricing and modal share.

## Union Pacific Profile

Union Pacific is one of the largest Class I freight railroads in the United States. The company transports agricultural products, energy resources, industrial goods, and premium freight across a rail system that spans the western two-thirds of the country. It operates in 23 states and connects major West Coast ports, inland distribution hubs, and manufacturing centers.

Headquartered in Omaha, Nebraska, Union Pacific emphasizes safe, reliable, and environmentally responsible operations. The company continues to invest in advanced technologies and fuel-efficient equipment to improve service performance, strengthen sustainability, and meet growing shipper demand.

## Post Merger Vision

While the buzz around railroads may not be as big as it was during Westward expansion, they still play a major role in nationwide infrastructure. Post-merger, Union Pacific Norfolk Western plans to create a transcontinental railroad to reinforce supply chains and industrial capabilities across the country.

Especially in the tariff-heavy environment, this infrastructure could become increasingly valuable with many companies considering scaling manufacturing within the United States to offset costs. It allows the railroads to create a superior product, with more potential for favorable rate negotiation.

## Deal Structure

**Overview:** Union Pacific acquires Norfolk Southern in a stock-and-cash deal, valuing Norfolk Southern at approximately \$85B, and creating a combined enterprise of over \$250B. Norfolk Southern shareholders will receive 1 Union Pacific share plus \$88.82 cash for each of their Norfolk Southern shares.

**Norfolk Southern Advisors:** Bank of America Securities acted as the exclusive financial advisor to Norfolk Southern.

**Union Pacific Advisors:** Morgan Stanley and Wells Fargo serve as financial advisors to Union Pacific.

## Norfolk Southern Profile

Norfolk Southern is a major U.S. Class I freight railroad operator. The company moves raw materials, intermediate goods and finished products across a broad network that spans the eastern and mid-western United States and plays a central role in many regional supply chains.

It operates in 22 states and connects major intermodal hubs, industrial centers and port facilities.

Headquartered in Atlanta, Georgia, the company presents itself as customer-focused and operations-driven, with a strong emphasis on safety, sustainability and innovation.

## Risks and Considerations

While this deal would transform the U.S. rail industry, there are risks around integration, execution, and governance. Senators have urged the Surface Transportation Board (STB) to review the merger to ensure competition and viable rail service.

If anti-trust or regulatory concerns arise, the deal could face delays or even rejection. Although the companies project \$2.75 billion in annual synergies, fully integrating operations, safety standards, and labor agreements will take time and may reduce perceived benefits.

## Analyst Statement

There is little overlap between the two individual company's infrastructure, which allows significant opportunity for value creation through synergies and the potential for a better overall product. Having a streamlined network that is transcontinental allows for a consolidation within the US supply chain, and this merger creates a premium over other railroad competitors.

The success of this merger depends on the STB and its decision relating to regulatory concerns. However, if it is ultimately approved, the combined company will have a dominant market share and control the rail industry.

